

Risk Assessment Workbench BRD Requirements

<https://gemini.google.com/app/098a41536b4f881a>

User prompt: can you act as my client and give the requirements clearly and also make and extract the requirements from the context i need it for brd The Problem Statement Risk Assessment Workbench Automating financial crime risk assessment for new products and changes The Client A banking and financial services leader: a large national bank with roughly half a trillion dollars in assets, spanning consumer banking, commercial banking, payments and wealth management, closely supervised and examined on how well it controls financial crime risk. The Business Problem Every time a business unit wants to launch a new product, add a feature, change a process, onboard a vendor, enter a new geography or open up to a new customer segment, the Financial Crimes Risk Management (FCRM) function must assess the financial crime risk it introduces before it goes live. The outcome decides whether it is approved, rejected, deferred or approved with conditions. Today that process runs on email, Word, Excel and SharePoint, and depends heavily on which analyst picks up the case and what they happen to remember. A single assessment takes fifteen to twenty business days, two analysts can reach different conclusions on the same change, and when an examiner asks months later why a risk was rated the way it was, reconstructing the answer is slow and often incomplete. What They Want Built A Risk Assessment Workbench: one governed platform that carries a change request from intake through assessment to a committee decision, replacing the email and spreadsheet trail. Workflow, scoring and record-keeping are automated. AI is applied where it earns its place, typically finding relevant policy, pulling structure out of submitted documents and drafting the assessment for review. It serves three groups: a product owner who raises the change, an FCRM analyst who finalises the assessment and owns platform configuration, and a risk committee that votes on the result.

Response: As the Lead Business Stakeholder for Financial Crimes Risk Management (FCRM), our priority is replacing our fragmented spreadsheet-and-email model with a standardized, audit-ready Risk Assessment Workbench.

Below are the business and functional requirements extracted for your Business Requirements Document (BRD).

1. High-Level Business Objectives

- **Turnaround Reduction:** Reduce the current 15–20 business day assessment SLA significantly through automated workflows and AI pre-processing.
- **Consistency:** Standardize risk scoring logic so two analysts evaluating the same change reach identical, predictable conclusions.
- **Audit Readiness:** Maintain a continuous, immutable audit trail for internal auditors and federal bank examiners to immediately reconstruct decision rationale.

2. Stakeholder Personas & Core Workflows

- **Product Owner (Submitter):** Submits intake requests for new products, feature enhancements, process changes, vendor onboardings, new geographies, or target customer segments. Standardized dynamic intake forms capture all required documentation up front.
- **FCRM Analyst (Assessor & Admin):** Reviews intake packages, evaluates AI-generated draft assessments, modifies risk ratings, configures platform rules/scoring matrices, and finalizes assessments for committee review.
- **Risk Committee (Approver):** Evaluates completed assessments, reviews conditional mitigations, and casts votes to approve, reject, defer, or approve with conditions.

3. Key Functional Requirements Matrix

Functional Area	BRD ID	Requirement Description	Target Outcome
Intake & Case Management	FR-01	Standardized digital submission portal covering 6 change types (product, feature, process, vendor, geography, customer segment).	Eliminates email/SharePoint submissions; enforces mandatory document uploads before routing.

Functional Area	BRD ID	Requirement Description	Target Outcome
Workflow Engine	FR-02	Dynamic automated routing from intake submission to FCRM review, committee vote, and post-approval tracking.	Eliminates manual handoffs; tracks real-time SLA status per stage.
AI Assessment Drafting	FR-03	AI-powered unstructured document parsing and semantic search against current financial crime policies.	Automatically extracts context from submitted files, maps policy clauses, and generates an initial draft risk assessment for analyst review.
Scoring Engine	FR-04	Automated, configurable financial crime risk scoring matrix managed by FCRM administrators.	Replaces manual Excel templates; guarantees consistent scoring across all analysts.
Governance & Voting	FR-05	Committee portal supporting formal voting (Approve, Reject, Defer, Approve with Conditions).	Replaces manual decision emails with structured, timestamped voting records.
Audit & Lineage	FR-06	Full version control, decision history logging, and immediate report extraction for regulatory examinations.	Instant audit reconstruction showing exact policy rules and data used at the time of decision.

4. Non-Functional & Regulatory Requirements

- **Audit Lineage:** Every score override, committee vote, and draft modification must capture user ID, timestamp, and mandatory justification text.
- **Configurability:** FCRM administrators must be able to update risk models, scoring weights, and policy links without engineering support.
- **Role-Based Access Control (RBAC):** Strict segregation of duties between Product Owners (submitters), FCRM Analysts (assessors), and Committee Members (approvers).

Would you like me to expand on the specific risk scoring parameters (e.g., AML, Sanctions, ABC risk factors) or detail the AI human-in-the-loop review workflow for the next section of your BRD?

User prompt: yes please

Response: To ensure complete coverage for regulatory scrutiny, the Risk Assessment Workbench must codify our financial crime risk domains into the scoring engine and enforce strict governance around AI-generated drafts.

Risk Scoring Parameters & Taxonomy

The scoring engine must process risk across three primary tiers—Inherent Risk, Control Effectiveness, and Residual Risk—evaluating four core financial crime risk domains: **BSA/AML**, **OFAC/Sanctions**, **Anti-Bribery & Corruption (ABC)**, and **Fraud**.

Risk Driver	Inherent Risk Indicators	Dynamic Weight
Customer Segment	High-Net-Worth, PEPs, Foreign Financial Institutions, Money Services Businesses (MSBs), Non-Resident Aliens.	25%
Geographic Footprint	High-Risk Jurisdictions (FATF list), CPI index ratings, sanctioned regions, non-cooperative tax zones.	25%

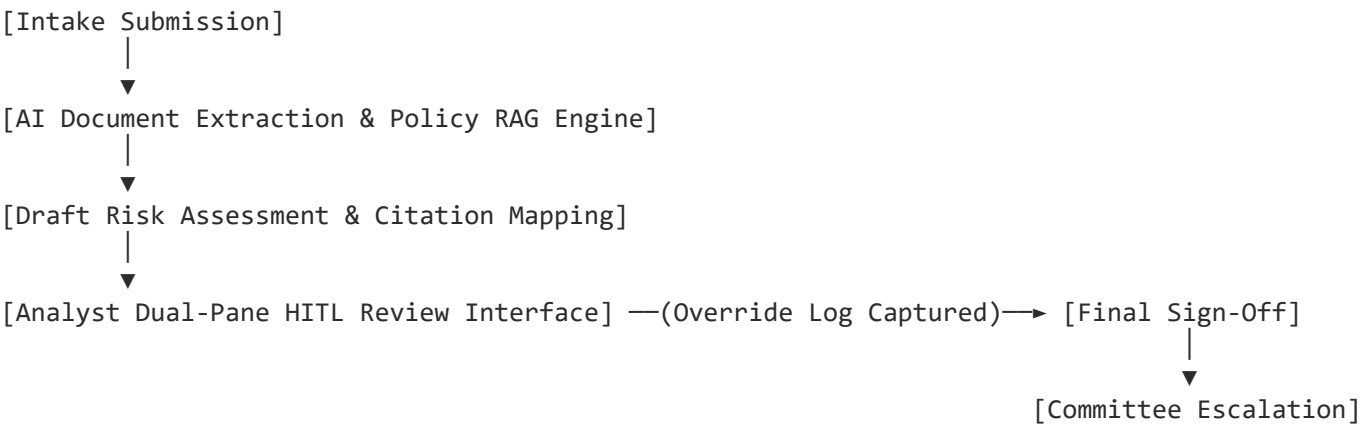
Risk Driver	Inherent Risk Indicators	Dynamic Weight
Product & Service Features	Cross-border movement, cash accessibility, anonymous payments, high velocity/volume limits, fast liquidation.	30%
Delivery / Sales Channel	Non-face-to-face digital onboarding, third-party broker networks, agent banking models.	20%

Scoring Calculation Rules:

- **Inherent Risk Score:** Aggregated score (1–5 scale: Very Low to High/Critical) based on the weighted sum of inputs across the four risk drivers above.
- **Control Scoring:** Analyst rates proposed controls (e.g., Automated Transaction Monitoring, Sanctions Screening, EDD Procedures) as *Deficient (0.0)*, *Needs Improvement (0.5)*, or *Effective (1.0)*.
- **Residual Risk Calculation:** The system automatically calculates residual risk ($Residual = InherentRisk \times [1 - ControlEffectiveness]$) and maps the score to final risk bands (Low, Moderate, High, Critical). Triggers mandatory Risk Committee escalation if Residual Risk is **High** or **Critical**.

AI Human-in-the-Loop (HITL) Workflow & Controls

AI is strictly implemented as an assistant to human decision-making, ensuring total accountability and alignment with regulatory expectations.



1. Ingestion & Semantic Extraction

- **Document Parsing:** The AI ingests unstructured attachments uploaded during intake (e.g., Product Requirements Documents, Vendor Architecture Diagrams, Business Process Flows).
- **Policy RAG (Retrieval-Augmented Generation):** The model queries the current FCRM Policy Repository to identify applicable regulatory requirements and internal policy clauses.

2. Assessment Drafting & Confidence Scoring

- **Auto-Populated Draft:** AI pre-fills the initial risk assessment form, proposing inherent risk ratings, identifying potential risk drivers, and drafting preliminary control requirements.
- **Citation Traceability:** Every AI proposal is linked to specific source text in both the submitted intake documents and the FCRM policy manual (e.g., "Flagged High Foreign Exchange Risk based on Section 3.2 of Product Spec vs. AML Policy §4.1").
- **Confidence Rating:** AI assigns a high/medium/low confidence score to each generated line item.

3. Analyst Review & Manual Override Rules

- **Dual-Pane Interface:** The workstation displays source documents on the left and the AI-drafted assessment on the right with side-by-side highlighting.
- **Mandatory Review:** Analysts must explicitly accept, modify, or reject each AI-generated score and text block before finalizing. Auto-approval by AI is technically prohibited.
- **Override Tracking:** If an analyst overrides an AI recommendation, the platform forces the selection of a reason code and requires a mandatory justification text field (minimum 50 characters).

4. Model Audit Lineage

- **Governance Log:** Every draft, prompt payload, policy model version, analyst override, and final approval is saved to an immutable, version-controlled record for regulatory retrieval.

Would you like me to draft the user acceptance criteria (UAC) or the detailed data integration requirements for connecting this platform to our core banking and enterprise policy systems?
